

OCTOBER 2026 · 10-YEAR INFRASTRUCTURE & SMALL BUSINESS ROLL-UP VEHICLE

East Coast Marine Diesel Service Platform

A buy-and-build of owner-operated marine diesel engine and service centers from South Florida to New England, funded with **no more than \$15M** of Leviathan equity. The plan is to raise the share of contracted revenue and embed service bays in Safe Harbor marinas, so the platform can be sold to **Blackstone Infrastructure** as the engine-room partner to Safe Harbor and MarineMax.

\$15.0M
Leviathan equity, hard cap ⁽¹⁾

13.6x
gross MOIC, BX Infra sale in Y7 ⁽¹⁾

68%
gross IRR, BX Infra sale in Y7 ⁽¹⁾

\$21.5M
Y7 adjusted EBITDA (from \$1.8M) ⁽¹⁾

9.9x
net MOIC to LPs, after fees and carry ⁽¹⁾

60%
net IRR to LPs ⁽¹⁾

20
locations by Y7 (from 2) ⁽¹⁾

44%
contracted revenue share by Y7 (from 15%) ⁽¹⁾

Investment Thesis ⁽⁵⁾

- **Fragmented, essential service.** Most operators earn \$2-15M of revenue, there is no regional platform, and boats cannot run without working engines. Bottom-up East Coast diesel service spend is about \$1.5B.
- **Buy low, sell high.** Add-ons are bought at about 4.25x EBITDA. The platform is sold at a blended ~13.4x once revenue is contracted and integrated.
- **Synergies built item by item.** Parts procurement, back-office, technician utilization and pricing add about 6.0 points of margin. A real \$1.0M headquarters cost is netted off.
- **Make the revenue look like infrastructure.** Fleet service contracts, extended service plans, IoT monitoring and marina-embedded bays take contracted revenue from 15% to about 44%. Infrastructure buyers pay more for contracted cash flows.
- **Pre-wired exit.** A Safe Harbor preferred-provider agreement in Y2 and service bays in 30 marinas by Y10 build the track record Blackstone Infrastructure would pay for.

Exit Lens ⁽³⁾⁽⁴⁾

Safe Harbor Marinas is the largest US marina and superyacht-servicing business, with 138 marinas. Blackstone Infrastructure bought it for \$5.65B in April 2025. It owns the slips but not the engine-room capability.

MarineMax has 120+ locations, including 65 marinas and storage sites and IGY superyacht marinas. It is a sales channel (repower, warranty overflow) and the competing strategic bidder that keeps price tension in the auction.

Four exit routes are modeled: a full sale to BX Infra, a 60% sale with 40% retained to Y10, a sale to MarineMax, and a sale to another sponsor.

01 · THESIS REVIEW

Re-underwriting the CIM⁽⁵⁾

Each row compares the CIM's claim with the assumption used in the Leviathan model.

Area	CIM position	Optimized thesis (as modeled)
Capital required	~\$80M cumulative capital by Y5 (p.12); platform \$7-22M EV.	Hard \$15M Leviathan cap. Stack: 2.25x senior + DDTL (35% of add-on EV) + seller notes (10-15%) + rollover (5-15%) + earnouts (10%) + a 25% minimum sponsor-equity slice per add-on + retained FCF. Revolver only after the cap is used up.
Platform size	\$8-15M revenue, 18-25% margin, 5-6x.	\$10M revenue / 18% normalized margin (QoE haircut) / 5.25x. ~\$3.0M Leviathan check at close leaves ~\$12.0M for add-ons.
Margins	Blended EBITDA 20% -> 25% by Y5; parts GM 40-60%.	Platform 18% / add-ons 14% standalone + bottom-up synergies (~6.0 pts) less a real HQ cost line (\$1.0M growing 8%).
Synergy math	Overhead 25-30% -> 18-22%; utilization 65-75% -> 85-95%.	Back-office +2 pts net; utilization 70% -> 80% with 20% flow-through; procurement 10% on parts COGS; pricing/mix +0.75 pts.
Return math	'\$213M EV vs \$80M capital = 2.7x' (p.12).	Equity-level waterfall: EV - net debt - exit costs - MIP, times Leviathan's fully-diluted ownership (units priced at fair-value marks).
Exit multiple	9-12x generic 'platform exit'.	Blended multiple: services (10x) on transactional cash flows, infra (15x) on contracted / marina-embedded cash flows. Contracted share goes from 15% to 35% by Y7 in Base.
Exit path	Not specified.	Pre-wire Blackstone Infrastructure: a Safe Harbor preferred-provider agreement in Y2 and embedded service bays from Y3 (30 marinas by Y10). Four modeled routes: 100% BX sale; spin/partial with 40% retained inside Safe Harbor; MarineMax strategic; sponsor.
Geography	S. Florida -> Mid-Atlantic -> Northeast by phase.	Same phases, with a new screening rule: favor targets within ~25 miles of a Safe Harbor or MarineMax location (FL, Chesapeake, LI Sound, New England).
Market sizing	\$5.1B global MRO; 12.7-yr merchant-fleet age.	Bottom-up East Coast TAM below: registered vessels x diesel share x annual spend, plus commercial and workboat.
Sponsor framing	Branded Blackstone Tactical Opportunities as sponsor.	Leviathan is the sponsor and BX Infra is the buyer. Run a real auction (BX vs MarineMax vs sponsors); that competition is where the seller's synergy share comes from.
Key risks	Technician retention rated Moderate-High.	Rollover + MIP (10% of gains) for GMs and lead techs; OEM consent as a closing condition; earnouts tied to technician retention.
10-yr vehicle fit	5-year hold.	Route 2: sell 60% to BX Infra at Y5-7 for DPI and keep 40% compounding inside Safe Harbor to Y10.

02 · CAPITAL & PLATFORM BUILD

How \$15M Builds the Platform⁽¹⁾

Platform Close — Sources⁽¹⁾

\$10M revenue · 18% margin · \$1.8M EBITDA · 5.25x · EV \$9.45M

Source	\$M	% of EV
Senior term loan	\$4.05M	43%
Seller note	\$0.94M	10%
Seller rollover equity	\$1.42M	15%
Earnout (deferred, max)	\$0.94M	10%
Leviathan equity	\$2.97M	31%

Leverage at close: 2.8x EBITDA. \$12.0M of the commitment is held back for add-ons.

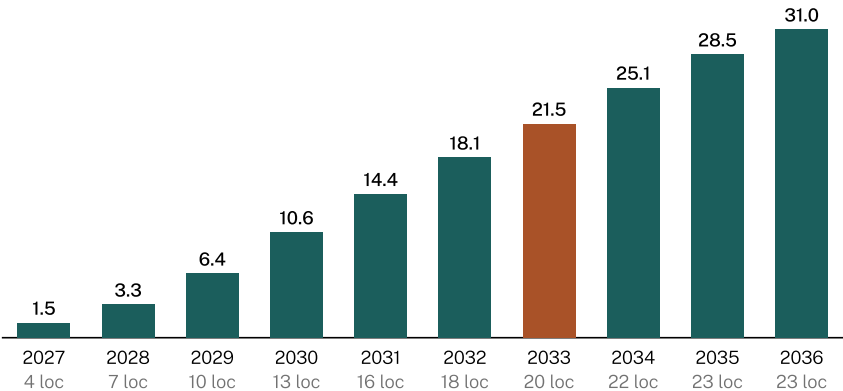
10-Year Funding Stack⁽¹⁾

\$63.3M total acquisition spend · 4.2x per \$1 of Leviathan equity

DDTL draws	\$17.6M · 28%
Leviathan equity	\$15.0M · 24%
Seller notes issued	\$8.5M · 13%
Earnouts (max, contingent)	\$6.0M · 9%
Senior term loan (at close)	\$4.0M · 6%
Seller rollover equity	\$3.9M · 6%
Internally generated cash	\$8.1M · 13%

Adjusted EBITDA by Year (\$M)⁽¹⁾

Rust bar = selected exit year (Y7). Locations shown below each year.



Platform Trajectory⁽¹⁾

Metric	Close	Y3 2029	Y5 2031	Y7 2033	Y10 2036
Revenue	\$10.0M	\$38.1M	\$73.4M	\$107.0M	\$151.9M
Adjusted EBITDA	\$1.8M	\$6.4M	\$14.4M	\$21.5M	\$31.0M
EBITDA margin	18.0%	16.9%	19.7%	20.1%	20.4%
Locations	2	10	16	20	23
Contracted % of revenue	15%	27%	37%	44%	46%
Safe Harbor embedded bays	0	4	11	19	30
Total leverage (x PF EBITDA)	2.8x	1.6x	0.8x	0.7x	0.5x
Leviathan equity drawn	\$3.0M	\$9.0M	\$12.5M	\$15.0M	\$15.0M
Leviathan ownership	68%	77%	77%	77%	77%

03 · EXIT ROUTES & RETURNS

Returns by Exit Route⁽¹⁾

Base case. Gross to Leviathan, including interim distributions from Y5. Equity value is net of debt, exit costs and the 10% management pool.

Route	MOIC Y5	MOIC Y7	MOIC Y10	IRR Y7	IRR Y10
1 · 100% sale to Blackstone Infrastructure	10.1x	13.6x	21.1x	68%	50%
2 · 60% to BX Infra, 40% retained to Y10	13.1x	15.6x	21.1x	60%	50%
3 · Strategic sale to MarineMax	7.0x	9.6x	15.5x	58%	46%
4 · Sale to another sponsor	7.4x	10.1x	16.4x	60%	46%

BX Infra Buyer Synergies at Y7⁽¹⁾⁽⁶⁾

\$8.8M run-rate EBITDA. \$27.9M of value paid to the seller after a 60% haircut and a 35% seller share.

Marina-network service rollout		\$5.0M
BX scale cost (insurance, GPO, fleet)		\$1.6M
MarineMax channel agreement		\$2.2M

Platform Operating Synergies⁽¹⁾

6.0 points of margin at maturity, phased in over 4 years

Parts procurement		1.8 pts
Back-office consolidation		2.0 pts
Technician utilization 70 → 80%		1.4 pts
Pricing / mix		0.8 pts

Sensitivity — Route 1 Gross MOIC⁽¹⁾

Exit year (rows) vs multiple on contracted cash flows (columns). The services multiple is held at 10.0x.

Exit \ infra multiple	12x	14x	15x	16x	18x	20x
Y5	8.9x	9.7x	10.1x	10.4x	11.2x	11.9x
Y6	10.6x	11.5x	11.9x	12.4x	13.3x	14.2x
Y7	12.0x	13.1x	13.6x	14.1x	15.1x	16.2x
Y8	14.3x	15.5x	16.1x	16.7x	17.9x	19.2x
Y9	16.7x	18.1x	18.8x	19.4x	20.8x	22.2x
Y10	18.9x	20.4x	21.1x	21.9x	23.4x	24.8x

Public Market Equivalent at Y7 — KS-PME & Direct Alpha⁽¹⁾⁽⁷⁾

Leviathan cash flows compounded at each index's forward return (SPY 9%, QQQ 13%, SOXX 16%). Above 1.0x means the platform beat the index. Gross unless noted.

Route	KS-PME SPY	KS-PME QQQ	KS-PME SOXX	Alpha SPY	Alpha QQQ	Alpha SOXX
1 · 100% sale to Blackstone Infrastructure	9.4x	8.0x	7.1x	54%	48%	45%
2 · 60% to BX Infra, 40% retained to Y10	9.7x	8.0x	6.9x	47%	42%	38%
3 · Strategic sale to MarineMax	6.7x	5.7x	5.1x	45%	40%	36%
4 · Sale to another sponsor	7.1x	6.0x	5.3x	46%	41%	38%
Route 1, Y7 — net to LPs	7.0x	5.9x	5.3x	47%	42%	38%

04 · SCENARIOS, RISKS & SOURCES

Scenario Summary⁽²⁾

Metric	Base	Upside	Downside	Aggressive
Adj. EBITDA Y7	\$21.5M	\$34.2M	\$8.7M	\$43.7M
Contracted % Y7	44%	53%	27%	58%
Year \$15M fully drawn	Y7	Y6	Not reached	Y5
R1 gross MOIC Y7	13.6x	24.4x	4.6x	32.8x
R1 gross IRR Y7	68%	84%	35%	96%
Net MOIC to LPs	9.9x	17.5x	3.5x	23.3x
Net IRR to LPs	60%	76%	29%	87%
Net KS-PME vs SPY	7.0x	12.0x	2.4x	16.1x
Net KS-PME vs QQQ	5.9x	10.2x	2.0x	13.7x
Net KS-PME vs SOXX	5.3x	9.0x	1.8x	12.2x

Key scenario levers

Lever	Base	Upside	Downside	Aggressive
Organic growth	5%	7%	2%	8%
Add-on entry multiple	4.25x	4.0x	5.0x	3.75x
Services / infra exit multiple	10x / 15x	11x / 17x	8x / 12x	12x / 18x

Risks & Mitigants⁽⁵⁾

Risk	Assessment	Mitigant
Technician retention	The binding constraint on growth	Rollover and a 10% management pool for GMs and lead techs; earnouts tied to retention; training academy
OEM authorization transfer	Gating item at each close	OEM consent as a closing condition; multi-brand targets
Seller paper and DDTL load	Peak 3.3x Base, 4.5x Downside (5.0x covenant)	Senior cash sweep; revolver only after the \$15M cap
Affiliate-sale conflict	BX as both reference sponsor and buyer	Leviathan is the sponsor; independent auction with a fairness opinion
Marina-bay execution	Unproven per-bay economics	Pilot 3–4 bays in Y3 before scaling; revenue-share contract

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Endnotes. (1) Leviathan_Infra_RollUp_MarineDiesel_Model_v1.xlsx, Base case, Route 1 exit in Y7; \$M; model financials are unaudited projections. (2) Scenario Summary tab: values pasted from four full model runs. (3) Blackstone Infrastructure / Sun Communities, Safe Harbor Marinas sale, \$5.65B, 138 marinas, closed April 2025. (4) MarineMax FY2026 filings and Q3 FY26 release: 120+ locations, 65 marina and storage locations, FY26 adjusted EBITDA guidance \$110–125M. (5) "Marine Diesel Engine & Service Center Roll-Up Platform" CIM, August 2026, as re-underwritten in the model's Thesis Review tab. (6) Estimates still to be verified: marina-bay revenue (\$0.9M per bay), MarineMax routable volume (\$20M), and the multiple on contracted cash flows (15x). (7) KS-PME (Kaplan-Schoar) = future value of Leviathan distributions / future value of contributions, both compounded at the benchmark's forward total-return rate to the exit year; direct alpha = $(1+IRR)/(1+benchmark) - 1$. Benchmark rates are model inputs: SPY 9% and QQQ 13% match the Leviathan core holdco; SOXX 16% is forward-tempered against a trailing 5-year return of ~34.5%. Net figures are after the 2% fee and 20% carry.